Yale Law School

LAW21474, Financial Accounting
Marketable Securites
Berkshire Hathaway's Investment Accounts

After hitting the "Pause" button on the drive toward more mark-to-market accounting after the financial crisis of 2008, the FASB has returned to the effort. Rules first applicable in 2018 do away with the Available-for-Sale classification for marketable *equity* securities. (The category remains an option for debt securities.) Gains and losses on marketable equity securities now all hit net income, whether realized or not.

Not everyone thinks this change is for the better. In his February 23, 2019 letter to the shareholders of Berkshire Hathaway Inc., Warren Buffett states:[1]

> Berkshire earned $4.0 billion in 2018 utilizing generally accepted accounting principles (commonly called "GAAP"). The components of that figure are $24.8 billion in operating earnings, a $3.0 billion non-cash loss from an impairment of intangible assets (arising almost entirely from our equity interest in Kraft Heinz), $2.8 billion in realized capital gains from the sale of investment securities and a $20.6 billion loss from a reduction in the amount of unrealized capital gains that existed in our investment holdings.
>
> A new GAAP rule requires us to include that last item in earnings. As I emphasized in the 2017 annual report, neither Berkshire's Vice Chairman, Charlie Munger, nor I believe that rule to be sensible. Rather, both of us have consistently thought that at Berkshire this mark-to-market change would produce what I described as "wild and capricious swings in our bottom line."
>
> The accuracy of that prediction can be suggested by our quarterly results during 2018. In the first and fourth quarters, we reported GAAP losses of $1.1 billion and $25.4 billion respectively. In the second and third quarters, we reported profits of $12 billion and $18.5 billion. In complete contrast to these gyrations, the many businesses that Berkshire owns delivered consistent and satisfactory operating earnings in all quarters. For the year, those earnings exceeded their 2016 high of $17.6 billion by 41%.
>
> Wide swings in our quarterly GAAP earnings will inevitably continue. That's because our huge equity portfolio – valued at nearly $173 billion at the end of 2018 – will often experience one-day price fluctuations of $2 billion or more, all of which the new rule says must be dropped immediately to our bottom line. Indeed, in the fourth quarter, a period of high volatility in stock prices, we experienced several days with a "profit" or "loss" of more than $4 billion.

[1] Letter available at http://www.berkshirehathaway.com/2018ar/2018ar.pdf pages 3-15.

> Our advice? Focus on operating earnings, paying little attention to gains or losses of any variety. My saying that in no way diminishes the importance of our investments to Berkshire. Over time, Charlie and I expect them to deliver substantial gains, albeit with highly irregular timing.

Being the Oracle of Omaha, Buffett knew this was coming and alerted shareholders to what was about to happen in his February 24, 2018 letter:[2]

> After stating those fiscal facts, I would prefer to turn immediately to discussing Berkshire's operations. But, in still another interruption, I must first tell you about a new accounting rule – a generally accepted accounting principle (GAAP) – that in future quarterly and annual reports will severely distort Berkshire's net income figures and very often mislead commentators and investors.
>
> The new rule says that the net change in unrealized investment gains and losses in stocks we hold must be included in all net income figures we report to you. That requirement will produce some truly wild and capricious swings in our GAAP bottom-line. Berkshire owns $170 billion of marketable stocks (not including our shares of Kraft Heinz), and the value of these holdings can easily swing by $10 billion or more within a quarterly reporting period. Including gyrations of that magnitude in reported net income will swamp the truly important numbers that describe our operating performance. For analytical purposes, Berkshire's "bottom-line" will be useless.
>
> The new rule compounds the communication problems we have long had in dealing with the realized gains (or losses) that accounting rules compel us to include in our net income. In past quarterly and annual press releases, we have regularly warned you not to pay attention to these realized gains, because they – just like our unrealized gains – fluctuate randomly.
>
> That's largely because we sell securities when that seems the intelligent thing to do, not because we are trying to influence earnings in any way. As a result, we sometimes have reported substantial realized gains for a period when our portfolio, overall, performed poorly (or the converse).

In the following, we will explore issues involving the accounting for marketable securities and the effects of this rule change using excerpts from the Berkshire Hathaway Inc. 10-K for the fiscal year ended December 31, 2018 that are provided in the last pages of this case.

[2] Letter available at http://www.berkshirehathaway.com/2017ar/2017ar.pdf pages 3-17.

a. Fill in the following T-accounts:

	Accumulated Other Comprehensive Income		
		58,571	BB
EB	5,015		

	Retained Earnings		
		255,786	BB
		321,112	EB

b. Make the journal entry to reclassify Accumulated Other Comprehensive Income into Retained Earnings that was related to the accounting rule change for Investments in Equity Securities.

c. Make the journal entry for cash sales of securities in the Investments in Equity Securities account in 2018.

d. Make the journal entry to record the fair value (i.e., mark-to-market) adjustment made at the end of 2018.

e. What was the source for the numbers used in d above? Do you have confidence in them?

f. Complete, as best you can with the information available, the following T-accounts:

	Investments in Equity Securities	
BB	170,540	
EB	172,757	

(Note: I am missing $228.)

	Short-term Investments in U.S. Treasury Bills + Investments in Fixed Maturity Securities	
BB	105,724	
EB	101,404	

(Note: I am missing $6,574.)

g. Why is there a line item for "Net change in unrealized appreciation of investments" in the Statement of Other Comprehensive Income?

BERKSHIRE HATHAWAY INC.
and Subsidiaries
CONSOLIDATED BALANCE SHEETS
(dollars in millions)

	December 31,	
	2018	**2017**
ASSETS		
Insurance and Other:		
Cash and cash equivalents*	$ 27,749	$ 28,673
Short-term investments in U.S. Treasury Bills	81,506	84,371
Investments in fixed maturity securities	19,898	21,353
Investments in equity securities	172,757	170,540
Equity method investments	17,325	21,024
Loans and finance receivables	16,280	13,748
Other receivables	31,564	29,392
Inventories	19,069	17,366
Property, plant and equipment	20,628	19,868
Equipment held for lease	14,298	10,167
Goodwill	56,323	56,478
Other intangible assets	31,499	32,518
Deferred charges under retroactive reinsurance contracts	14,104	15,278
Other	9,307	9,391
	532,307	530,167
Railroad, Utilities and Energy:		
Cash and cash equivalents*	2,612	2,910
Receivables	3,666	3,531
Property, plant and equipment	131,780	128,184
Goodwill	24,702	24,780
Regulatory assets	3,067	2,950
Other	9,660	9,573
	175,487	171,928
	$ 707,794	$ 702,095

** Cash and cash equivalents includes U.S. Treasury Bills with maturities of three months or less when purchased of $3.9 billion at December 31, 2018 and $5.7 billion at December 31, 2017.*

BERKSHIRE HATHAWAY INC.
and Subsidiaries
CONSOLIDATED BALANCE SHEETS
(dollars in millions)

	December 31, 2018	December 31, 2017
LIABILITIES AND SHAREHOLDERS' EQUITY		
Insurance and Other:		
Unpaid losses and loss adjustment expenses	$ 68,458	$ 61,122
Unpaid losses and loss adjustment expenses under retroactive reinsurance contracts	41,834	42,937
Unearned premiums	18,093	16,040
Life, annuity and health insurance benefits	18,632	17,608
Other policyholder liabilities	7,675	7,654
Accounts payable, accruals and other liabilities	25,776	24,569
Derivative contract liabilities	2,452	2,172
Aircraft repurchase liabilities and unearned lease revenues	4,593	—
Notes payable and other borrowings	34,975	40,409
	222,488	212,511
Railroad, Utilities and Energy:		
Accounts payable, accruals and other liabilities	11,410	11,334
Regulatory liabilities	7,506	7,511
Notes payable and other borrowings	62,515	62,178
	81,431	81,023
Income taxes, principally deferred	51,375	56,607
Total liabilities	355,294	350,141
Shareholders' equity:		
Common stock	8	8
Capital in excess of par value	35,707	35,694
Accumulated other comprehensive income	(5,015)	58,571
Retained earnings	321,112	255,786
Treasury stock, at cost	(3,109)	(1,763)
Berkshire Hathaway shareholders' equity	348,703	348,296
Noncontrolling interests	3,797	3,658
Total shareholders' equity	352,500	351,954
	$ 707,794	$ 702,095

BERKSHIRE HATHAWAY INC.
and Subsidiaries
CONSOLIDATED STATEMENTS OF EARNINGS
(dollars in millions except per share amounts)

	Year Ended December 31,		
	2018	**2017**	**2016**
Revenues:			
Insurance and Other:			
Insurance premiums earned	$ 57,418	$ 60,597	$ 45,881
Sales and service revenues	133,336	130,343	123,053
Leasing revenues	5,732	2,452	2,553
Interest, dividend and other investment income	7,678	6,536	6,180
	204,164	199,928	177,667
Railroad, Utilities and Energy:			
Freight rail transportation revenues	23,703	21,080	19,683
Energy operating revenues	15,555	15,155	14,621
Service revenues and other income	4,415	3,770	3,143
	43,673	40,005	37,447
Total revenues	247,837	239,933	215,114
Investment and derivative contract gains (losses):			
Investment gains (losses)	(22,155)	1,410	7,553
Derivative contract gains (losses)	(300)	718	751
	(22,455)	2,128	8,304
Costs and expenses:			
Insurance and Other:			
Insurance losses and loss adjustment expenses	39,906	48,891	30,906
Life, annuity and health insurance benefits	5,699	5,618	5,131
Insurance underwriting expenses	9,793	9,321	7,713
Cost of sales and services	106,083	104,343	97,867
Cost of leasing	4,061	1,455	1,335
Selling, general and administrative expenses	18,238	19,189	17,973
Interest expense	1,035	1,132	1,099
	184,815	189,949	162,024
Railroad, Utilities and Energy:			
Freight rail transportation expenses	16,045	14,031	13,134
Utilities and energy cost of sales and other expenses	11,641	10,772	10,471
Other expenses	3,895	3,231	2,589
Interest expense	2,818	3,254	2,642
	34,399	31,288	28,836
Total costs and expenses	219,214	221,237	190,860
Earnings before income taxes and equity method earnings (losses)	6,168	20,824	32,558
Equity method earnings (losses)	(2,167)	3,014	1,109
Earnings before income taxes	4,001	23,838	33,667
Income tax expense (benefit)	(321)	(21,515)	9,240
Net earnings	4,322	45,353	24,427
Earnings attributable to noncontrolling interests	301	413	353
Net earnings attributable to Berkshire Hathaway shareholders	$ 4,021	$ 44,940	$ 24,074
Net earnings per average equivalent Class A share	$ 2,446	$ 27,326	$ 14,645
Net earnings per average equivalent Class B share*	$ 1.63	$ 18.22	$ 9.76
Average equivalent Class A shares outstanding	1,643,795	1,644,615	1,643,826
Average equivalent Class B shares outstanding	2,465,692,368	2,466,923,163	2,465,739,654

** Class B shares are economically equivalent to one-fifteen-hundredth of a Class A share. Accordingly, net earnings per average equivalent Class B share outstanding is equal to one-fifteen-hundredth of the equivalent Class A amount. See Note 21.*

BERKSHIRE HATHAWAY INC.
and Subsidiaries

CONSOLIDATED STATEMENTS OF COMPREHENSIVE INCOME

(dollars in millions)

	Year Ended December 31,		
	2018	2017	2016
Net earnings	$ 4,322	$ 45,353	$ 24,427
Other comprehensive income:			
Net change in unrealized appreciation of investments	(185)	30,450	13,858
Applicable income taxes	31	(10,566)	(4,846)
Reclassification of investment appreciation in net earnings	(253)	(1,399)	(6,820)
Applicable income taxes	53	490	2,387
Foreign currency translation	(1,531)	2,364	(1,541)
Applicable income taxes	62	(95)	66
Prior service cost and actuarial gains/losses of defined benefit pension plans	(571)	225	354
Applicable income taxes	143	(45)	(187)
Other, net	(12)	(9)	(17)
Other comprehensive income, net	(2,263)	21,415	3,254
Comprehensive income	2,059	66,768	27,681
Comprehensive income attributable to noncontrolling interests	249	555	291
Comprehensive income attributable to Berkshire Hathaway shareholders	$ 1,810	$ 66,213	$ 27,390

BERKSHIRE HATHAWAY INC.
and Subsidiaries

CONSOLIDATED STATEMENTS OF CHANGES IN SHAREHOLDERS' EQUITY

(dollars in millions)

	Berkshire Hathaway shareholders' equity					
	Common stock and capital in excess of par value	Accumulated other comprehensive income	Retained earnings	Treasury stock	Non-controlling interests	Total
Balance December 31, 2015	$ 35,628	$ 33,982	$ 186,772	$ (1,763)	$ 3,077	$ 257,696
Net earnings	—	—	24,074	—	353	24,427
Other comprehensive income, net	—	3,316	—	—	(62)	3,254
Issuance of common stock	119	—	—	—	—	119
Transactions with noncontrolling interests	(58)	—	—	—	(10)	(68)
Balance December 31, 2016	35,689	37,298	210,846	(1,763)	3,358	285,428
Net earnings	—	—	44,940	—	413	45,353
Other comprehensive income, net	—	21,273	—	—	142	21,415
Issuance of common stock	76	—	—	—	—	76
Transactions with noncontrolling interests	(63)	—	—	—	(255)	(318)
Balance December 31, 2017	35,702	58,571	255,786	(1,763)	3,658	351,954
Adoption of new accounting pronouncements	—	(61,375)	61,305	—	—	(70)
Net earnings	—	—	4,021	—	301	4,322
Other comprehensive income, net	—	(2,211)	—	—	(52)	(2,263)
Issuance (acquisition) of common stock	59	—	—	(1,346)	—	(1,287)
Transactions with noncontrolling interests	(46)	—	—	—	(110)	(156)
Balance December 31, 2018	$ 35,715	$ (5,015)	$ 321,112	$ (3,109)	$ 3,797	$ 352,500

BERKSHIRE HATHAWAY INC.
and Subsidiaries
CONSOLIDATED STATEMENTS OF CASH FLOWS
(dollars in millions)

	Year Ended December 31,		
	2018	2017	2016
Cash flows from operating activities:			
Net earnings	$ 4,322	$ 45,353	$ 24,427
Adjustments to reconcile net earnings to operating cash flows:			
Investment gains/losses	22,155	(1,410)	(7,553)
Depreciation and amortization	9,779	9,188	8,901
Other	2,957	458	(161)
Changes in operating assets and liabilities:			
Losses and loss adjustment expenses	3,449	25,027	4,372
Deferred charges reinsurance assumed	1,174	(7,231)	(360)
Unearned premiums	1,794	1,761	968
Receivables and originated loans	(3,443)	(1,990)	(3,302)
Other assets	(1,832)	(1,665)	(373)
Other liabilities	2,002	1,194	1,684
Income taxes	(4,957)	(24,957)	4,044
Net cash flows from operating activities	37,400	45,728	32,647
Cash flows from investing activities:			
Purchases of U.S. Treasury Bills and fixed maturity securities	(141,844)	(158,492)	(96,568)
Purchases of equity securities	(43,210)	(20,326)	(16,508)
Sales of U.S. Treasury Bills and fixed maturity securities	39,693	49,327	18,757
Redemptions and maturities of U.S. Treasury Bills and fixed maturity securities	113,045	86,727	26,177
Sales and redemptions of equity securities	18,783	19,512	28,464
Purchases of loans and finance receivables	(1,771)	(1,435)	(307)
Collections of loans and finance receivables	342	1,702	490
Acquisitions of businesses, net of cash acquired	(3,279)	(2,708)	(31,399)
Purchases of property, plant and equipment and equipment held for lease	(14,537)	(11,708)	(12,954)
Other	(71)	(3,608)	(377)
Net cash flows from investing activities	(32,849)	(41,009)	(84,225)
Cash flows from financing activities:			
Proceeds from borrowings of insurance and other businesses	2,409	2,645	14,172
Proceeds from borrowings of railroad, utilities and energy businesses	7,019	3,013	3,077
Repayments of borrowings of insurance and other businesses	(7,395)	(5,465)	(2,577)
Repayments of borrowings of railroad, utilities and energy businesses	(4,213)	(3,549)	(2,123)
Changes in short term borrowings, net	(1,943)	2,079	130
Acquisition of treasury stock	(1,346)	—	—
Other	(343)	(121)	112
Net cash flows from financing activities	(5,812)	(1,398)	12,791
Effects of foreign currency exchange rate changes	(140)	248	(172)
Increase (decrease) in cash and cash equivalents and restricted cash	(1,401)	3,569	(38,959)
Cash and cash equivalents and restricted cash at beginning of year	32,212	28,643	67,602
Cash and cash equivalents and restricted cash at end of year *	$ 30,811	$ 32,212	$ 28,643
** Cash and cash equivalents and restricted cash at end of year are comprised of the following:*			
Insurance and Other	*$ 27,749*	*$ 28,673*	*$ 24,109*
Railroad, Utilities and Energy	*2,612*	*2,910*	*3,939*
Restricted cash, included in other assets	*450*	*629*	*595*
	$ 30,811	*$ 32,212*	*$ 28,643*

From Note 1:

(d) Investments in fixed maturity securities

We classify investments in fixed maturity securities at the acquisition date and re-evaluate the classification at each balance sheet date. We carry held-to-maturity investments at amortized cost, reflecting the ability and intent to hold the securities to maturity. Trading investments are securities acquired with the intent to sell in the near term and are carried at fair value with changes in fair value reported in earnings. All other fixed maturity securities are classified as available-for-sale and are carried at fair value with net unrealized gains or losses reported as a component of accumulated other comprehensive income. As of December 31, 2018, substantially all of our investments in fixed maturity securities were classified as available-for-sale. We amortize the difference between the original cost and maturity value of a fixed maturity security to earnings using the interest method.

Investment gains and losses arise when fixed maturity securities are sold (as determined on a specific identification basis) or are other-than-temporarily impaired with respect to securities classified as available-for-sale. If the value of a fixed maturity investment declines to below amortized cost and the decline is deemed to be other than temporary, the amortized cost of the investment is reduced to fair value, with a corresponding charge to earnings. We recognize an other-thantemporary impairment if we (a) intend to sell or expect to be required to sell the security before its amortized cost is recovered or (b) do not expect to ultimately recover the amortized cost basis even if we do not intend to sell the security. Under scenario (a), we recognize the loss in earnings and under scenario (b), we recognize the credit loss component in earnings and the difference between fair value and the amortized cost basis net of the credit loss in other comprehensive income.

(e) Investments in equity securities

We carry substantially all of our investments in equity securities at fair value and record the subsequent changes in fair values in the Consolidated Statement of Earnings as a component of investment gains/losses. Prior to January 1, 2018, substantially all of our equity security investments were classified as available-for-sale and were also carried at fair value. However, we recorded the periodic changes in fair value of these securities as components of other comprehensive income and we recorded gains and losses in the Consolidated Statements of Earnings when equity securities were sold (on a specific identification basis) or were other-than-temporarily impaired.

…

(2) Significant business acquisitions

Our long-held acquisition strategy is to acquire businesses that have consistent earning power, good returns on equity and able and honest management. Financial results attributable to business acquisitions are included in our Consolidated Financial Statements beginning on their respective acquisition dates.

In 2016, National Indemnity Company ("NICO"), a wholly-owned subsidiary, entered into a definitive agreement to acquire Medical Liability Mutual Insurance Company ("Medical Liability Mutual"), a writer of medical professional liability insurance domiciled in New York. The acquisition price was approximately $2.5 billion. The acquisition closed on October 1, 2018, at which time, Medical Liability Mutual's name was changed to MLMIC Insurance Company ("MLMIC"). As of the acquisition date, the fair value of MLMIC's assets was approximately $6.1 billion, including cash ($230 million) and investments ($5.2 billion), and liabilities were approximately $3.6 billion, consisting primarily of unpaid losses and loss adjustment expenses ($3.2 billion). MLMIC premiums earned for the year ending December 31, 2018 were approximately $400 million.

In each of the past three years, we also completed several smaller-sized business acquisitions, which we consider as "bolt-ons" to several of our existing business operations. Aggregate consideration paid for bolt-on acquisitions

was approximately $1.0 billion in 2018, $2.7 billion in 2017 and $1.4 billion in 2016. We do not believe that these acquisitions are material, individually or in the aggregate to our Consolidated Financial Statements.

…

(3) Investments in fixed maturity securities

Investments in fixed maturity securities as of December 31, 2018 and 2017 are summarized by type below (in millions).

	Amortized Cost	Unrealized Gains	Unrealized Losses	Fair Value
December 31, 2018				
U.S. Treasury, U.S. government corporations and agencies	$ 4,223	$ 22	$ (22)	$ 4,223
States, municipalities and political subdivisions	182	7	—	189
Foreign governments	7,480	50	(28)	7,502
Corporate bonds	7,055	408	(23)	7,440
Mortgage-backed securities	487	59	(2)	544
	$ 19,427	$ 546	$ (75)	$ 19,898
December 31, 2017				
U.S. Treasury, U.S. government corporations and agencies	$ 3,975	$ 4	$ (26)	$ 3,953
States, municipalities and political subdivisions	847	19	(12)	854
Foreign governments	8,572	274	(24)	8,822
Corporate bonds	6,279	588	(5)	6,862
Mortgage-backed securities	772	92	(2)	862
	$ 20,445	$ 977	$ (69)	$ 21,353

Investments in foreign governments include securities issued by national and provincial government entities as well as instruments that are unconditionally guaranteed by such entities. As of December 31, 2018, approximately 88% of our foreign government holdings were rated AA or higher by at least one of the major rating agencies.

(3) Investments in fixed maturity securities *(Continued)*

The amortized cost and estimated fair value of fixed maturity securities at December 31, 2018 are summarized below by contractual maturity dates. Amounts are in millions. Actual maturities may differ from contractual maturities due to early call or prepayment rights held by issuers.

	Due in one year or less	Due after one year through five years	Due after five years through ten years	Due after ten years	Mortgage-backed securities	Total
Amortized cost	$ 6,973	$ 10,937	$ 438	$ 592	$ 487	$ 19,427
Fair value	6,982	10,994	494	884	544	19,898

(4) Investments in equity securities

Investments in equity securities as of December 31, 2018 and 2017 are summarized based on the primary industry of the investee in the table below (in millions).

	Cost Basis	Net Unrealized Gains	Fair Value
*December 31, 2018 **			
Banks, insurance and finance	$ 44,332	$ 38,260	$ 82,592
Consumer products	38,783	22,838	61,621
Commercial, industrial and other	19,752	8,792	28,544
	$ 102,867	$ 69,890	$ 172,757

** Approximately 68% of the aggregate fair value was concentrated in five companies (American Express Company – $14.5 billion; Apple Inc. – $40.3 billion; Bank of America Corporation – $22.6 billion; The Coca-Cola Company – $18.9 billion and Wells Fargo & Company – $20.7 billion).*

	Cost Basis	Net Unrealized Gains	Fair Value
*December 31, 2017 **			
Banks, insurance and finance	$ 25,783	$ 55,026	$ 80,809
Consumer products	25,177	25,698	50,875
Commercial, industrial and other	23,716	15,140	38,856
	$ 74,676	$ 95,864	$ 170,540

** Approximately 65% of the aggregate fair value was concentrated in five companies (American Express Company – $15.1 billion; Apple Inc. – $28.2 billion; Bank of America Corporation – $20.7 billion; The Coca-Cola Company – $18.4 billion and Wells Fargo & Company – $29.3 billion).*

(6) Investment gains/losses

Investment gains/losses for each of the three years ending December 31, 2018 are summarized below (in millions).

	2018	2017	2016
Equity securities:			
Unrealized investment gains/losses on securities held at the end of the period	$(22,729)	$ —	$ —
Investment gains/losses during 2018 on securities sold in 2018	291	—	—
Gross realized gains	—	2,237	7,853
Gross realized losses	—	(919)	(415)
	(22,438)	1,318	7,438
Fixed maturity securities:			
Gross realized gains	480	103	58
Gross realized losses	(227)	(22)	(51)
Other	30	11	108
	$(22,155)	$ 1,410	$ 7,553

Prior to 2018, we recognized investment gains and losses in earnings when we sold or otherwise disposed of equity securities based on the difference between the proceeds from the sale and the cost of the securities and also when we recognized other-than-temporary impairment losses. Beginning in 2018, equity securities gains and losses include unrealized gains and losses from changes in fair values during the period on equity securities we still own. See Note 1(w). Prior to 2018, we recorded the changes in unrealized gains and losses on our investments in equity securities in other comprehensive income.

During 2018, as reflected in the Consolidated Statement of Cash Flows, we received proceeds of approximately $18.8 billion from sales of equity securities. In the preceding table, investment gains/losses on equity securities sold during 2018 reflect the difference between proceeds from sales and the fair value of the equity security sold at the beginning of the period or the purchase date, if later. Our taxable gains on equity securities sold during 2018, which are generally the difference between the proceeds from sales and our original cost, were $3.3 billion.

…

(14) Supplemental cash flow information

A summary of supplemental cash flow information for each of the three years ending December 31, 2018 is presented in the following table (in millions).

	2018	2017	2016
Cash paid during the period for:			
Income taxes	$4,354	$ 3,286	$4,719
Interest:			
Insurance and other	1,111	1,260	944
Railroad, utilities and energy	2,867	2,828	2,788
Non-cash investing and financing activities:			
Liabilities assumed in connection with business acquisitions	3,735	747	16,555
Equity securities exchanged in connection with business acquisitions	—	—	4,239
Conversions and other exchanges of investments	—	—	4,154
Equity securities surrendered in connection with warrant exercise	—	4,965	—

(20) Fair value measurements

Our financial assets and liabilities are summarized below as of December 31, 2018 and December 31, 2017, with fair values shown according to the fair value hierarchy (in millions). The carrying values of cash and cash equivalents, U.S. Treasury Bills, receivables and accounts payable, accruals and other liabilities are considered to be reasonable estimates of their fair values.

	Carrying Value	Fair Value	Quoted Prices (Level 1)	Significant Other Observable Inputs (Level 2)	Significant Unobservable Inputs (Level 3)
December 31, 2018					
Investments in fixed maturity securities:					
U.S. Treasury, U.S. government corporations and agencies	$ 4,223	$ 4,223	$ 2,933	$ 1,290	$ —
States, municipalities and political subdivisions	189	189	—	189	—
Foreign governments	7,502	7,502	5,417	2,085	—
Corporate bonds	7,440	7,440	—	7,434	6
Mortgage-backed securities	544	544	—	544	—
Investments in equity securities	172,757	172,757	172,253	203	301
Investment in Kraft Heinz common stock	13,813	14,007	14,007	—	—
Loans and finance receivables	16,280	16,377	—	1,531	14,846
Derivative contract assets [1]	172	172	2	52	118
Derivative contract liabilities:					
Railroad, utilities and energy [1]	111	111	1	101	9
Equity index put options	2,452	2,452	—	—	2,452
Notes payable and other borrowings:					
Insurance and other	34,975	35,361	—	35,335	26
Railroad, utilities and energy	62,515	66,422	—	66,422	—

…

The fair values of substantially all of our financial instruments were measured using market or income approaches. The hierarchy for measuring fair value consists of Levels 1 through 3, which are described below.

Level 1 – Inputs represent unadjusted quoted prices for identical assets or liabilities exchanged in active markets.

Level 2 – Inputs include directly or indirectly observable inputs (other than Level 1 inputs) such as quoted prices for similar assets or liabilities exchanged in active or inactive markets; quoted prices for identical assets or liabilities exchanged in inactive markets; other inputs that may be considered in fair value determinations of the assets or liabilities, such as interest rates and yield curves, volatilities, prepayment speeds, loss severities, credit risks and default rates; and inputs that are derived principally from or corroborated by observable market data by correlation or other means. Pricing evaluations generally reflect discounted expected future cash flows, which incorporate yield curves for instruments with similar characteristics, such as credit ratings, estimated durations and yields for other instruments of the issuer or entities in the same industry sector.

Level 3 – Inputs include unobservable inputs used in the measurement of assets and liabilities. Management is required to use its own assumptions regarding unobservable inputs because there is little, if any, market activity in the assets or liabilities and it may be unable to corroborate the related observable inputs. Unobservable inputs require management to make certain projections and assumptions about the information that would be used by market participants in valuing assets or liabilities.

(22) Accumulated other comprehensive income

A summary of the net changes in after-tax accumulated other comprehensive income attributable to Berkshire Hathaway shareholders and amounts reclassified out of accumulated other comprehensive income for each of the three years ending December 31, 2018 follows (in millions).

	Unrealized appreciation of investments, net	Foreign currency translation	Prior service and actuarial gains/losses of defined benefit pension plans	Other	Accumulated other comprehensive income
Balance December 31, 2015	$ 38,598	$ (3,856)	$ (762)	$ 2	$ 33,982
Other comprehensive income, net before reclassifications	9,011	(1,412)	94	(48)	7,645
Reclassifications into net earnings:					
Earnings before income taxes	(6,820)	—	104	51	(6,665)
Applicable income taxes	2,387	—	(29)	(22)	2,336
Balance December 31, 2016	43,176	(5,268)	(593)	(17)	37,298
Other comprehensive income, net before reclassifications	19,826	2,151	65	16	22,058
Reclassifications into net earnings:					
Reclassifications before income taxes	(1,399)	3	155	19	(1,222)
Applicable income taxes	490	—	(47)	(6)	437
Balance December 31, 2017	62,093	(3,114)	(420)	12	58,571
Reclassifications to retained earnings upon adoption of new accounting standards	(61,340)	(65)	36	(6)	(61,375)
Other comprehensive income, net before reclassifications	(183)	(1,424)	(513)	25	(2,095)
Reclassifications into net earnings:					
Reclassifications before income taxes	(253)	—	116	5	(132)
Applicable income taxes	53	—	(35)	(2)	16
Balance December 31, 2018	$ 370	$ (4,603)	$ (816)	$ 34	$ (5,015)